

FEDERAL MARITIME COMMISSION

DOCKET NO. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

STATUS REPORT – RESPONDENT’S POSITION

Pursuant to Judge Ambrow’s December 19, 2024, Order Requiring a Joint Status Report (Dkt. 24-01), the parties submit separate status reports. Although the Presiding Officer requested a joint status report, Complainant agreed with Respondent on a joint status report with separate statements of position to be filed as attachments.¹ However, counsel for Complainant withdrew from this plan at the last minute.² Accordingly, Respondent submits its own status report below.

Respondent’s Position

Respondent believes that Complainant’s purported disputes are moot and were never intended to be serious. Rather, they were simply part of Complainant’s misbegotten attempt to

¹ Respondent communicated this plan to Complainant yesterday, December 30, 2024.

² Complainant sent its first draft of the joint status report to Respondent at 4:37 p.m. EST on December 30, 2024, a few hours before the joint status report was originally to be filed. Respondent replied to Complainant at 5:09 p.m. EST that given the nature of the draft, the number of false statements that Respondent would need to respond to, and the fact that one of the attorney’s for Respondent was out of the country, it would not be possible to file the joint status report on December 30, 2024. Moreover, counsel for Respondent conveyed to Complainant that due to the falsehoods in Complainant’s draft status report, the parties’ positions would need to be set out in attachments. At 6:03 p.m. EST, counsel for Complainant stated that it would not object or oppose a 1-day extension. At 6:34 p.m. EST on December 31, 2024, Respondent sent Complainant its status position that was, along with Complainant’s status position, to be filed as an attachment to the joint status report. At 10:18 p.m. EST, Complainant decided to withdraw from this previously agreed upon plan and instead stated to Respondent that it sought to submit separate reports. Respondent notes that the first footnote of Complainant’s filed status report improperly seeks relief in a manner other than a motion.

avoid its burden of proof by inducing the Presiding Officer to put his (formerly her) thumb heavily on the scale by granting obviously unwarranted inferences.

In any event, the matter is moot because: (i) Complainant's supplemental discovery request was substantially late under the governing Scheduling Order; and (ii) Respondent has already produced everything to which Complainant may have been entitled.

A. VCC's Second Supplemental Request was Untimely

The Scheduling Order (last revised September 5, 2024) includes a specific drop-dead date for serving supplemental discovery requests. This date was set by agreement of both Parties and was specified as September 9, 2024. The very point of this date was to set a time well earlier than the end of discovery, so that the Parties would have sufficient time to undertake any additional searches, collection, and production before the October 18, 2024, deadline marking the end of discovery.

Despite expressly agreeing to this deadline for serving supplemental discovery, Complainant simply ignored it. On October 10, 2024, more than a month after the last day for serving supplemental requests, Complainant sent by email a multi-part supplemental request, seeking, *inter alia* that certain laborious searches, already done by COSCO for multiple custodians, be extended to additional custodians, considered by COSCO as unlikely to have relevant information. This was definitively a supplemental discovery request, not just a request for a few specific documents.

Complainant has argued that its request was timely because it was filed before discovery ended (by 8 days). But the end of discovery was not the deadline for serving discovery requests – that was September 9, 2024, a date specifically agreed to by the Parties and imposed by the Scheduling Order. Complainant's position would render that portion of the Scheduling Order

entirely meaningless and the need to produce discovery might linger well after discovery supposedly ended. This is directly contrary to the intent of the September 9, 2024, deadline. Complainant is simply seeking to abuse a deadline to which it itself agreed.

There is another issue with Complainant's Second Motion to Compel. As a review of the Commission's docket reveals, Complainant failed to file a public version of the motion. And this is not the first time Complainant has failed to comply with the Commission's confidentiality rules.

B. Respondent Nevertheless Responded to the Supplemental Discovery Request

Although Respondent was not required to respond to any of the supplemental discovery requests, it did so as a voluntary matter of good will. On October 16, 2024, Respondent sent Complainant its Objections and Responses, objecting to some of the requests and promising to conduct searches and produce documents, if found.

As promised, Respondent conducted searches on the agreed upon additional custodians but did not find any responsive documents. Respondent communicated that result to Complainant on November 12, 2024.

C. Responses to VCC's Position

In this section, we address the specific issues raised by VCC in its statement of position. We demonstrate both that Complainant is not entitled to more discovery than it has already received and that its statement of position is replete with untruths, half-truths and misleading statements.

1. Mr. Takase's Testimony

COSCO designated Tom Takase as its 30(b)(6) witness who was the most knowledgeable COSCO representative to testify as to the topics relevant in this proceeding.

With respect to Topic 2 (COSCO's revenues and profits from detention and demurrage

fees), the Presiding Officer has already held this line of inquiry to be irrelevant. In her Order of July 29, 2024, at 9, the Presiding Officer specifically rejected Complainant's requests for "generalized data regarding COSCO's income, revenue, and the like."

With respect to Topic 4 ("COSCO's policies and procedures for allocating free days") Mr. Takase: (1) testified that he was prepared to testify on this topic (Takase Deposition Transcript at 38:12-17); (2) testified that he was aware of COSCO's procedures and policies (Takase Tr. at 38:20-39:3); and (3) responded extensively to questions about COSCO's policies for demurrage and detention (see e.g. Takase Tr. at 57:15 – 59:1) (Takase Tr. at 90:22- 106:20; 113:20-116:4). COSCO also produced documents responsive to this topic, COSCO_000019-000099.

Regarding Topic 5 ("COSCO's policies and procedures for redirecting traffic to manage port congestion"), Mr. Takase also provided testimony responsive to questions about this subject (see, e.g., Takase Tr. at 131:3-132:11) When asked during his deposition about COSCO's policies and procedures for redirecting traffic to manage port congestion, Mr. Takase testified, "I suppose for this discussion, its mainly aimed at redirecting vessels, because once the containers are discharged at the port terminal, there's really nothing we can do." Takase Tr. at 41:7-42:10. Mr. Takase further testified that, "To manage port congestion...marine operations have various strategies for this situation. They could slow a ship down, they can skip rotation, port rotations, et cetera." Takase Tr. at 43:13- 44:3.

In response to questions about Topic 6 (COSCO's policies and procedures for establishing tariff per diems at ports), Mr. Takase testified that the term "per diem" was "not used to relate to any containers sitting at the port." Takase Tr. at 47:1–48:1. Mr. Takase testified that he was the most knowledgeable person within COSCO on this topic. Takase Tr. at 49:10-12.

With respect to Topic 10 ("COSCO's practices, processes, and policies regarding the

retention, collection, and production of documents for this litigation) Mr. Takase testified that he was prepared to testify about that subject. Takase Tr. at 27:20-28:3. Further, when asked whether he knew whether the shaperdiem@coscon.com e-mail address was collected for purposes of this litigation, Mr. Takase testified (and Complainant struthiously ignores) that COSCO had effectively searched that email address in accordance with Complainant's search terms and all responsive documents were produced to Complainant. Further, Mr. Takase testified that employees are instructed not to delete e-mails, and that reminders not to destroy e-mails are sent regularly. Takase Tr. at 31:3-15.

2. Claims about Custodians

Complainant continues to repeat its falsehoods about shaperdiem@coscon.com. As an initial matter, these searches were conducted in response to Complainant's first set of discovery requests, and Respondent produced to Complainant *every* responsive document it found using Complainants specified searches, *save for two* privileged documents. Thus, the issue is no longer live.

As Complainant certainly knows by now, shaperdiem@coscon.com is *not* a document repository. Rather, it is merely a lengthy list of email addresses and serves to distribute complaints to the appropriate COSCO office reflecting the geographic location of the complaint. That is, complaints about shipments to North America would be distributed to a North American office, not to an office in Australia, Europe, South America, or Africa.

Although shaperdiem@coscon.com is not itself searchable, Respondent did effectively do so. More specifically, Respondent searched every relevant location to which a complaint by RIM or VCC might have been distributed. This would have included what came into and out of

Shaperdiem, among other things. As part of Complainant's supplemental requests, Respondent also searched perdiem_CDS@coscon.com, and perdiem@cosco-usa.com, despite Complainant's tired canard to the contrary. Thus, Complainant's statement that COSCO "has not searched the email addresses perdiem_CDS@coscon.com, and perdiem@cosco-usa.com" is patently false, and Complainant knows it is false.

Complainant alleges that "COSCO failed entirely to identify these custodians [Tom Takase, Christine Smith and Phil Taylor] before the October 9 deposition" of Mr. Takase. These custodians were not identified because Respondent thought it unlikely that they would have responsive documents. When Respondent searched the records of these custodians, "[n]o responsive documents were found." Thus, even if COSCO erred in not identifying these persons earlier, the error was plainly harmless.

Complainant moreover makes the misleading claim that COSCO refused to search custodians James Houghtalin and Paulina Wang. But COSCO objected to those searches for legitimate reasons, previously acknowledged by VCC. Ms. Wang was not an employee during the relevant period, so was very unlikely to have relevant documents. Mr. Houghtalin is a COSCO lawyer, so most, if not all, documents from his account would be privileged. Given that the request was made out of time and discovery was about to end, it did not seem reasonable to spend another three months searching for documents and carefully reviewing the results (if any) for privilege. Complainant has not shown otherwise.

Regardless, Complainant ***said nothing*** in response to Respondent's objection to searching these custodians until it filed its Brief, and as such has failed to confer and waived any quibble it might have had. Complainant's current cavils are simply part of its desperate attempt to evade its failure to make a case on the merits.

In sum, COSCO searched every custodian reasonably likely to have information for documents responsive to VCC's dictated search teams. Anything responsive that came into or went out of Shaperdiem was necessarily captured by that process. Moreover, any address or location that Respondent believed might have held responsive documents was searched, and every non-privileged responsive document Respondent located was produced to Complainant.

3. VIP Contracts

Complainant appears to have dropped its assertion about Respondent's decision not to provide copies of its service contracts with "VIP Customers," as the term VIP appears nowhere in its Reply Brief. In any event, such service contracts are irrelevant, as the previous Presiding Officer ruled. She held that COSCO service contracts with parties other than RIM are not relevant and need not be produced: "Without a cogent argument regarding the relevance of third-party service contracts or other confidential agreements, including case authority, only the RIM agreement must be provided." July 17, 2024, Order at 8. Furthermore, quarrels about differing treatment of service contract customers are discrimination claims, neither made in the Complaint nor legally cognizable under the Shipping Act.

4. Types of Documents

Complainant repeats its knowingly patently false claim that "COSCO has not produced a single internal email." As Complainant well knows, Respondent's production COSCO_000001-18 on May 30, 2024, was a production to Complainant of COSCO internal emails. And as part of COSCO's fourth production on September 4, 2024, COSCO *produced hundreds* of internal portal tickets that represent emails received by COSCO and sent by COSCO.

5. Policies and Procedures

On October 16, 2024, Respondent emailed Complainant its "Responses of Respondent to

Complainant's Second Supplemental Discovery Requests, Set Two.” In response to Complainant’s request: “Produce all written policies and procedures related to setting per diem, detention, demurrage, and storage rates (a) via general tariff or (b) for VIP accounts, including but not limited to searching the relevant custodians in Shanghai,” Respondent responded with five (5) URL links to COSCO’s current practices and policies relating to demurrage and detention. Those links redirect to COSCO’s company website, where the requested policies are published. Therefore, Complainant’s statement that “COSCO has not produced any responsive documents” is patently false at best.

As it relates to Complainant’s discovery request for: “Produce all correspondence and written policies related to the procedures for the handling of disputes related to per diem, detention, demurrage, and storage charges,” Respondent searched for such documents but found nothing responsive.

Conclusion

In sum, Complainant is not entitled to anything because its Second Supplemental Request was way out of time. Untimeliness notwithstanding, however, Respondent provided full and complete responses and Complainant received everything to which it was entitled.

Dated: December 31, 2024

Respectfully submitted,

Nicholas Webb

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CERTIFICATE OF SERVICE

I certify that on the 31st day of December 2024, a true and correct copies of the foregoing **Respondent's Status Report- Respondent's Position** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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